

Multiple Choice (10 marks)

1. Stagflation most likely results from
 - (a) decreasing AD with constant SRAS.
 - (b) a decrease in AD with increasing SRAS.
 - (c) decreasing SRAS with constant AD.
 - (d) increasing both AD and SRAS.
 - (e) a decrease in AD and an increase in SRAS.
2. A dark room technician who develops film into photographs loses his job because few people use film cameras any more. This is an example of which of the following?
 - (a) Seasonal unemployment
 - (b) Casual unemployment
 - (c) Cyclical unemployment
 - (d) Structural unemployment
 - (e) Underemployment
3. Under a pure capitalist system, would the government play a major role in the economy?
 - (a) Government intervenes only during economic crises to stabilize the market
 - (b) Government plays a minor role by enforcing contracts and property rights
 - (c) No government intervention in the economy
 - (d) Government provides public goods and services but does not control private enterprise
 - (e) Limited government intervention primarily in defense and public safety
4. Suppose a bank acquires an additional \$ 1 of deposits and no required reserve ratio exists. By how much could this one dollar deposit theoretically expand the money supply?
 - (a) \$20
 - (b) \$10
 - (c) \$5
 - (d) \$1,000
 - (e) Infinitely
5. The concentration ratio for a monopoly is

- (a) 50
- (b) 5
- (c) 10
- (d) 90
- (e) 15

True / False (10 marks)

Answer True or False

6. True or False: The European Economic Community is primarily a social welfare collaboration between Eastern and Western European countries.
7. True or False: For an autoregressive process to be stationary, the roots of the characteristic equation must all be greater than one in absolute value.
8. True or False: The slope of the consumption function is equal to the marginal propensity to save (MPS).
9. True or False: If interest rates rise in country A, its currency value will fluctuate unpredictably regardless of country B's interest rates.
10. True or False: A total wealth of 190,000 would result from an expected annual income of 20,000 at an interest rate of 9.8%.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Calculate the interest rate earned on a 91-day Treasury bill purchased for 485,000 with a face value of 500,000 at maturity. Discuss the implications of this rate in the context of government securities.
12. Discuss the importance of using per capita figures in economic growth analysis, focusing on their impact on measuring individual welfare and overall economic performance.

End of Paper